

Annual Review Extract

Case simulation annual review - selected management pages

Executive review

The House delivered revenue growth over three years, but the quality of that growth changed. Revenue expanded while normalized operating margin compressed in the final period. Management attributed pressure to mix, investment ramp-up and higher service/experience costs.

Metric	FY24	FY25	FY26	Comment
Revenue (EUR m)	9,270	9,780	10,160	Growth continues but moderates
Normalized operating margin	27.94%	27.10%	24.85%	Compression in FY26
Capital expenditure (EUR m)	910	1,320	1,760	Investment intensity rises
Working-capital days	20.1	24.5	31.0	Cash tied up increases

Business mix

Leather goods remains the largest internal revenue pool. Beauty and jewelry show different margin/capital profiles. The board asks management to distinguish brand-building investment from capacity investment.

Management discussion

- International tourism softened in several quarters.
- Local-client engagement improved in selected markets.
- Major atelier and digital projects are entering high-spend phases.
- Supplier concentration remains manageable overall, but selected specialist vendors are difficult to replace.
- Project codes AT-41, OM-27 and BX-19 recur in supporting schedules.

Footnote trail

The management model uses constant-scope internal definitions. Where numbers differ from statutory/public reporting, the internal case model should be reconciled through definitions and period alignment rather than assumed to be an error.